SUBSTITUTE FOR

SENATE BILL NO. 732

A bill to amend 2008 PA 295, entitled "Clean and renewable energy and energy waste reduction act," (MCL 460.1001 to 460.1232) by adding sections 243, 244, 245, and 246.

THE PEOPLE OF THE STATE OF MICHIGAN ENACT:

Sec. 243. (1) Not later than 30 days after the effective date of the amendatory act that added this section, the commission shall initiate a proceeding to develop requirements for programs of electric providers whose rates are regulated by the commission to allow aggregators and individual customer owners of behind-the-meter eligible electric generators and demand response resources to provide distribution and transmission system services, including, but not limited to, services through grid-edge distributed energy

resources management systems. The commission shall adopt the requirements within 1 year after the effective date of the amendatory act that added this section.

(2) The commission shall solicit input from stakeholders, including, but not limited to, the department of environment, Great Lakes, and energy, electric providers whose rates are regulated by the commission, industry representatives, stakeholders, and the attorney general to develop the program requirements.

(3) The program requirements must include compensation for grid services provided by behind-the-meter eligible electric generators and demand response resources to effectively leverage the value of behind-the-meter eligible electric generators and demand response resources to achieve objectives, including, but not limited to, the following:

(a) Increased resilience and reliability of the distribution and transmission systems.

(b) Positive net present value or demonstrated savings to ratepayers, including the avoidance of costly investments by electric distribution companies.

(4) Compensation under subsection (3) must meet the following requirements:

(a) Be based on publicly available utility marginal hourly costs of grid services.

(b) Be sufficient to cover the full value of grid services provided by behind-the-meter eligible electric generators and demand response resources, including, but not limited to, the following:

(*i*) Improved efficiency of the transmission and distribution system.

(*ii*) Reduced peak demand.

(*iii*) Increased customer, local, or community resilience, especially in areas with higher than average electric outages.

(*iv*) Ancillary services.

(*v*) Reduced supply capacity constraints.

(*vi*) Other grid services.

(5) The program requirements must meet all of the following conditions:

(a) Be based on the best available data and design from similarly designed programs in other states.

(b) Allow the owners of behind-the-meter eligible electric generators and demand response resources or aggregators of grid services provided by behind-the-meter eligible electric generators and demand response resources to be compensated for the enrolled available supply capacity and actual grid services provided to the grid, subject to all of the following:

(*i*) The grid services may include, but are not limited to, any of the following:

(A) Electric energy.

(B) Demand response.

(C) Load shifting.

(D) Generation shifting.

(E) Locational value.

(F) Voltage support or other ancillary services.

(*ii*) Greater compensation may be provided for deployment scenarios that face greater economic hurdles or for customer classes that are of low-to-moderate income, are located in environmental justice communities, or have experienced higher than average electric outages.

***(iii)* Owners of behind-the-meter eligible electric generators and demand response resources or aggregators of grid services provided by behind-the-meter eligible electric generators and demand response resources may be compensated for multiple grid services provided by an eligible electric generator or demand response resource, but may not be compensated twice for the same grid service.**

***(iv)* Owners of multiple behind-the-meter eligible electric generators or demand response resources, or both, may enroll different resources through different aggregators.**

(c) Apportion the costs of the compensation under subdivision (b) to ratepayers using a methodology approved by the commission.

(d) Allow the owner of a behind-the-meter eligible electric generator or demand response resource or an aggregator on the owner's behalf to provide grid services to, or participate in, the wholesale electricity market or any other utility program for which the behind-the-meter eligible electric generator or demand response resource is eligible.

(e) Ensure that the owner of a behind-the-meter eligible electric generator or demand response resource or an aggregator of the grid services provided by a behind-the-meter eligible electric generator or demand response resource is not compensated for provision of the same grid service in both the wholesale and retail electricity markets.

(f) Prohibit investor-owned utility ownership of a behind-the-meter eligible electric generator.

(g) Prohibit the imposition on the owner of a behind-the-meter eligible electric generator or demand response resource or the aggregator of the grid services provided by behind-the-meter

eligible electric generators or demand response resources of any charge, fee, or insurance requirement not imposed on persons that are not owners of behind-the-meter eligible electric generators or demand response resources or aggregators of the grid services provided by behind-the-meter eligible electric generators or demand response resources. This subdivision does not apply to a fee or other charge imposed on an aggregator for failure to meet contractual obligations to electric providers or customers.

(h) Prohibit unreasonable program size limitations, including unreasonable limitations on aggregator participation.

(i) Require aggregators to be registered with the commission. The commission shall issue orders establishing an annual registration procedure for all aggregators. To ensure adequate service to customers in this state, the commission shall ensure that an aggregator has the necessary financial, managerial, and technical capabilities, shall require that an aggregator maintain records that the commission considers necessary, and shall ensure an aggregator's accessibility to the commission, to consumers, and to electric utilities in this state. An aggregator is not required to obtain any certificate, license, or authorization from the commission other than as required by this section and sections 244 to 246.

(j) Provide appropriate and reasonable consumer protections and standards for entry into the program as determined by the commission, which may include requirements for standard contract terms and disclosure forms, payment terms, warranties, and data privacy provisions.

(k) Prohibit penalties or requirements for preapproval for normal operation of behind-the-meter eligible electric generators,

including during program events.

(*l*) Allow and enable participating customers to expeditiously share their customer information with aggregators.

Sec. 244. (1) Not later than 90 days after the commission adopts program requirements under section 243, each electric provider whose rates are regulated by the commission shall file with the commission a proposed program that complies with the program requirements. The proposal may provide for program implementation by a third party. The electric utility may include reasonable requirements for participation consistent with this subsection, not including any requirements of collateral from owners of behind-the-meter eligible electric generators or demand response resources, or an aggregator. The commission shall approve the programs, with or without modification, in the order resolving the rate case filing.

(2) The commission shall ensure that, to the extent practicable, the methodology for determining the valuation of services provided by behind-the-meter eligible electric generators and demand response resources is consistent across electric providers.

Sec. 245. An owner or aggregator of behind-the-meter eligible electric generators or demand response resources that participates in an approved program under section 244 is not an electric supplier, electric utility, or a person conducting an electric utility business.

Sec. 246. (1) When the applicable regional transmission organization implements Federal Energy Regulatory Commission Order 2222, the commission shall determine if the manner in which the order is implemented requires any modification of the program

requirements adopted under section 243 to increase program participation.

(2) Not later than 1 year after the effective date of this section, and every 2 years thereafter, the commission shall prepare and submit to the legislature a report that contains both of the following:

(a) Findings and recommendations regarding the program requirements.

(b) Recommendations for legislative action, including, but not limited to, action to do any the following:

(*i*) Stabilize the power supply.

(*ii*) Better integrate renewable energy systems.

(*iii*) Reduce peak demand.

(*iv*) Reduce costs to ratepayers.

Enacting section 1. This amendatory act does not take effect unless Senate Bill No. ____ (request no. S01936'25) or House Bill No. ____ (request no. H01936'25) of the 103rd Legislature is enacted into law.